

Short-Term Reversal in the S&P 500

How to improve risk-reward by exploiting counter-trend moves



CONCRETUM RESEARCH

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Should we always ride trend?

Much of our research has focused on trend-following. We have documented persistent trends across several markets and horizons, from cryptocurrencies and equity industries to intraday equity strategies such as the Opening Range Breakout and the Concretum Bands.

A common explanation is the **slow-moving capital** effect: prices do not always incorporate information instantly because capital, risk budgets, and mandates move with friction.

But does the same logic hold at a weekly horizon?

In other words...

Does a strong week tend to be followed by another strong week, and vice versa?

The answer is not just a statistical curiosity.

We find that weekly SPY returns do contain useful information about the following week.

What follows is the evidence, and why the signal can help decide when to add risk, when to reduce it, and how to integrate short-term mean-

reversion into trend-following models, dynamic equity allocation, or rotational strategies.

The test

We use dividend-adjusted SPY data from January 1993 through June 4, 2026, giving more than thirty years of weekly observations. We build non-overlapping weekly returns and repeat the experiment five times, anchoring the week to each closing day: Monday-to-Monday, Tuesday-to-Tuesday, and so on through Friday-to-Friday.

For each anchor we ask one concrete question:

Conditional on the sign of the prior week, what is the average return of the following week?

The Weekly Snapback

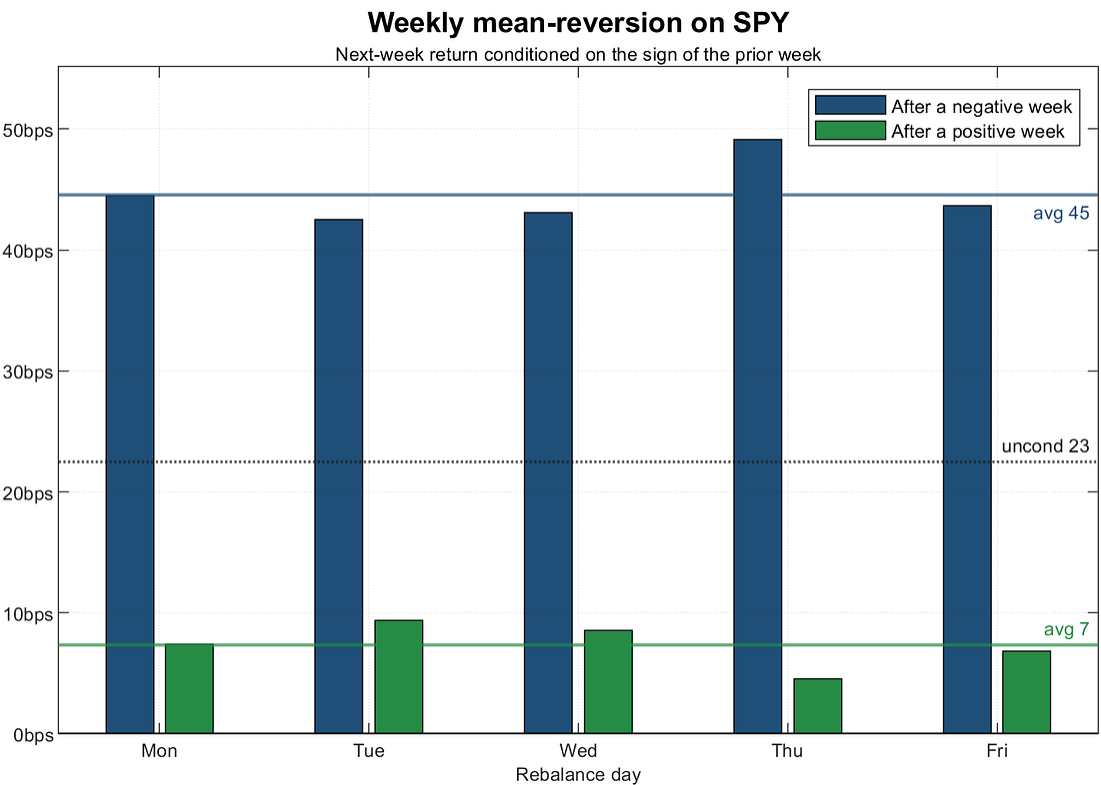


Figure 1 - Average next-week SPY return conditioned on the sign of the prior week, by rebalance day. The black reference line is the unconditional weekly mean

Across rebalance days, the pattern is clear:

- After a negative week, SPY returns about **45 bps** on average the following week.
- After a positive week, the following week returns only about **7 bps**.
- The unconditional weekly average is about **23 bps**.

In other words, expected return is roughly twice its normal level after a weak week, and far below normal after a strong one.

The gap is present on every anchor day. It ranges from 33 bps on Tuesday to 45 bps on Thursday, with t-statistics on the difference between 2.8 and 3.7. At this horizon, SPY does not trend; it mean-reverts.

Day	After down	After up	Gap	Uncond.	t-stat
Mon	44.5	7.4	37.1	22.9	2.89
Tue	42.5	9.4	33.1	22.4	2.77
Wed	43.1	8.6	34.5	22.3	2.99
Thu	49.1	4.5	44.6	22.4	3.73
Fri	43.7	6.9	36.8	22.6	3.05

Table 1 - Conditional next-week return, bps.

One subtlety matters: both conditional averages are positive. Weekly mean-reversion does not mean the market usually falls after an up week. It means the expected return is much higher after a weak week

and much lower after a strong one. The equity risk premium keeps even the after-up-week average above zero; the reversion lives in the spread between the two states.

Does the size of the prior move matter?

The sign result is useful, but it leaves a natural question:

| Does the magnitude of the prior week also contain information?

To test this, we run a simple regression on non-overlapping weekly returns:

$$\text{Ret}_{\text{week}+1} = \alpha + \beta \times \text{Ret}_{\text{week}}$$

The results are shown in the following table:

Day	Alpha bps	Beta	t(beta)	Autocorr.	R2 %
Mon	25.2	-0.106	-4.43	-0.106	1.12
Tue	24.5	-0.093	-3.90	-0.093	0.87
Wed	23.5	-0.054	-2.26	-0.054	0.29
Thu	25.1	-0.120	-5.02	-0.120	1.43
Fri	24.6	-0.092	-3.87	-0.092	0.85

Table 2 - Regression of next-week return on prior-week return.

The beta is negative for every rebalance day.

Thursday is again the cleanest signal, with beta around -0.12 and a t-stat near -5.0.

Monday, Tuesday, and Friday are also strongly negative. Wednesday is weaker but still points in the same direction.

The effect is not just a binary after-up versus after-down phenomenon: larger prior-week moves tend to be followed by stronger reversals.

The R-squared numbers are small, as they should be for a one-variable weekly return regression. This is not a forecasting machine that explains most weekly variance. It is a robust directional bias that may change the expected reward for taking equity risk.

Why Thursday?

The strongest effects appear on Thursday and Friday anchors. We do not have causal proof, but there are plausible candidates.

1. **Derivatives cycle.** Weekly and monthly option expirations cluster around Friday. Dealer hedging flows may build into the end of the week and normalize after expiry. A Thursday-to-Thursday window naturally brackets that cycle.
2. **Weekend risk management.** A Thursday anchor includes the Friday session and the weekend, periods where de-risking and position management may be more concentrated.
3. **Investor rebalancing.** Strategic allocation flows that sell what has risen and buy what has fallen would mechanically push against the prior move.

While we cannot establish causality, option-market positioning offers a plausible mechanism. During a down week, end-user demand for downside protection tends to leave dealers short puts, or short gamma. To stay delta-hedged, dealers must sell into the decline, mechanically amplifying the move lower.

As Friday expiry approaches and those positions roll off, the short hedge is no longer needed in the same size. Dealers can buy back the

hedge, creating upward pressure. This mechanism would neatly explain why a weak week might be followed by a rebound.

Where is the rebound actually earned?

If the options story is right, it gives a clean prediction: after a down week, the rebound should be concentrated in the Friday session itself, from Thursday's close to Friday's close.

We therefore decomposed the following Thursday-to-Thursday week into its five daily legs to see where the return actually accrues.

The results are reported below:

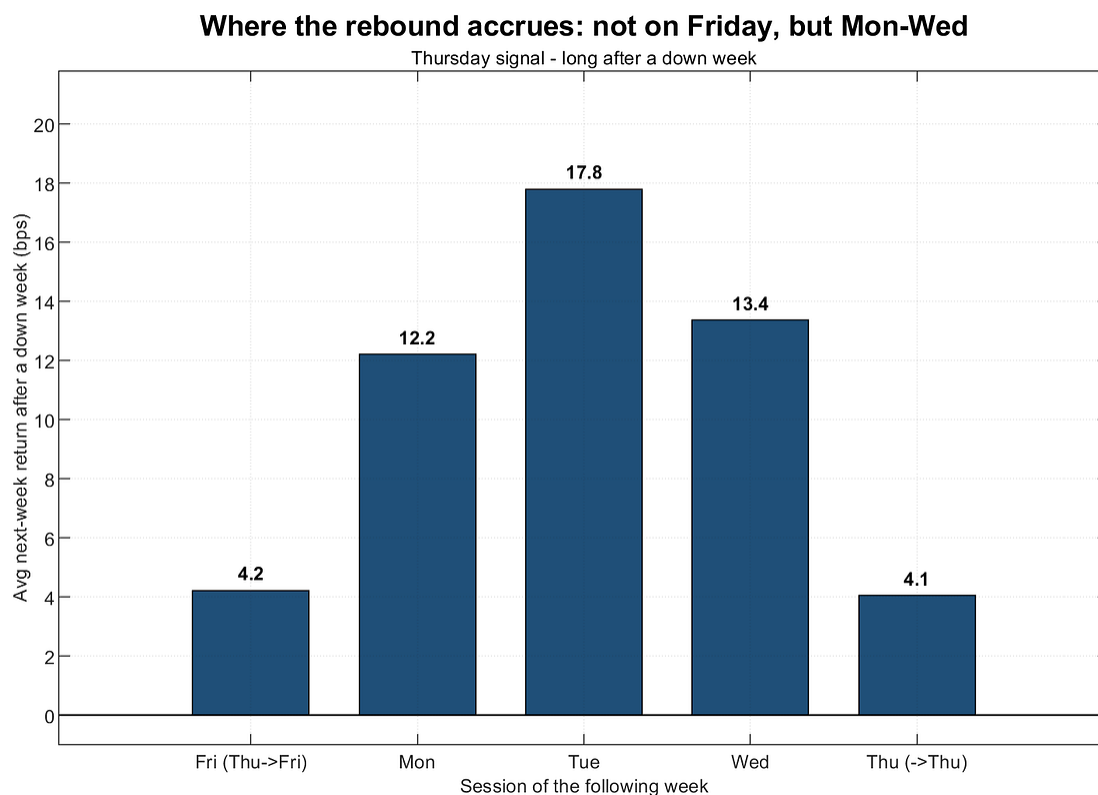


Figure 2 - Average daily contribution during the week after a down week, using the Thursday signal.

The Friday session is not the driver.

It contributes about 4 bps, similar to the final Thursday leg, and is not statistically meaningful. The rebound builds from Monday through Wednesday: Monday contributes about 12 bps, Tuesday about 18 bps, and Wednesday about 13 bps. Together, Monday-Wednesday account for roughly 84% of the total post-down-week rebound.

This does not kill the options hypothesis, but it forces a refinement. Expiry may be the catalyst, while the actual price impact is absorbed over the following sessions as positioning normalizes.

The honest conclusion is narrower and stronger: after down weeks, the return is a Monday-to-Wednesday phenomenon, with Tuesday the cleanest leg.

The reward-to-risk is asymmetric

Average return is only half the story. Down weeks are often high-volatility weeks, and volatility clusters. A larger average rebound is less useful if it arrives with proportionally larger risk.

We therefore sort Thursday-anchored weeks into five buckets based on the prior-week return and compute the following week's reward-to-risk, annualized, against SPY's unconditional benchmark of about 0.70.

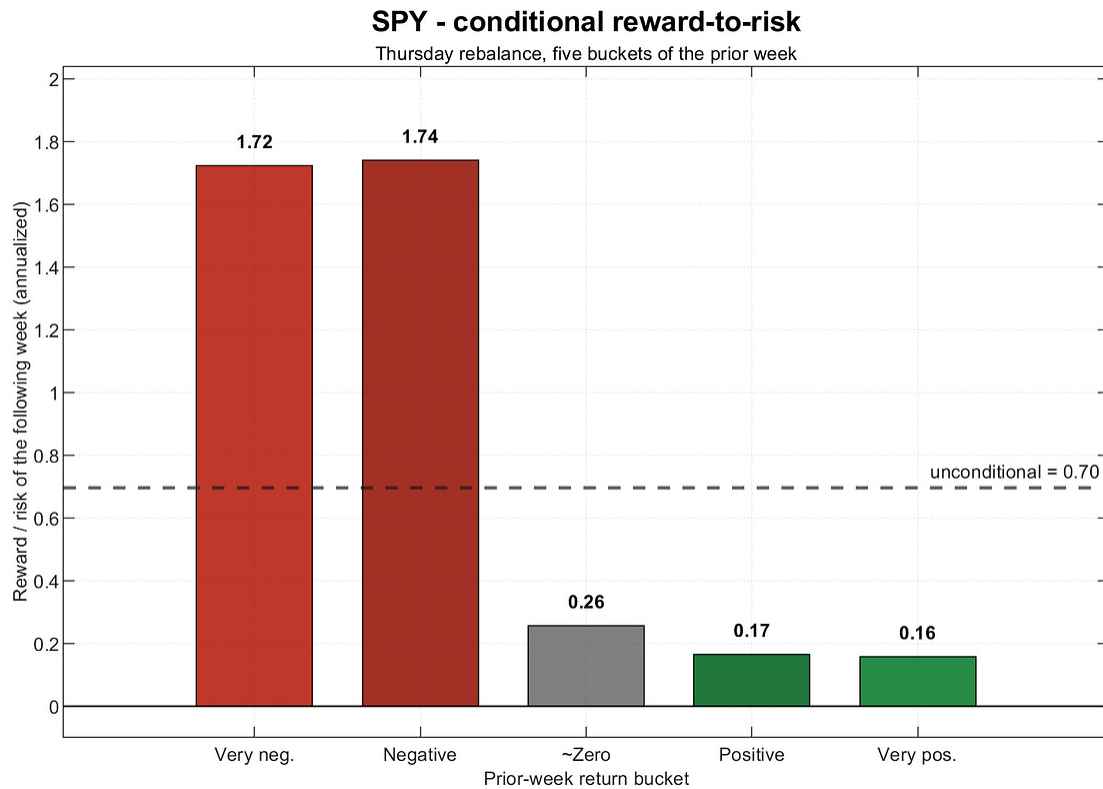


Figure 3 - Conditional reward-to-risk of the following week by prior-week return bucket, Thursday rebalance. Reward-to-risk is computed as the ratio between the average return of the following week and its standard deviation, annualized by multiplying by $\sqrt{52}$.

Bucket	Reward bps	Risk bps	R/R	N
Very neg.	83.7	350.5	1.72	233
Negative	51.9	214.9	1.74	232
~Zero	7.5	209.5	0.26	580
Positive	4.6	198.5	0.17	346
Very pos.	4.4	201.9	0.16	347

Table 3 - Conditional reward-to-risk, Thursday rebalance. Reward-to-risk is computed as the ratio between the

average return of the following week and its standard deviation, annualized by multiplying by $\sqrt{52}$.

The asymmetry is stark.

After negative weeks, the following week's reward-to-risk is about 1.7 (*note: Reward-to-risk is computed as the ratio between the average return of the following week and its standard deviation, annualized by multiplying by $\sqrt{52}$.*).

After flat or positive weeks it collapses to roughly 0.16-0.26, far below the long-run average. The market does not simply offer more return after weakness; it offers much better compensation per unit of risk.

Interestingly, the best risk-adjusted bucket is not the most violent selloff bucket. Very negative weeks deliver the highest average rebound, but also the highest volatility. Moderately negative weeks produce a similar reward-to-risk with less turbulence. This is an important warning against blindly levering exposure after the worst weeks.

How to use it

A symmetric long/short implementation is not the natural way to harvest this effect. The short leg fights the equity risk premium: after positive weeks, expected return is low, but still slightly positive. The signal is more useful as an exposure modulator than as a standalone market-neutral bet.

We see three practical uses.

1. **Fast alpha.** A weekly contrarian signal is largely orthogonal to a low-frequency trend engine and can sharpen entries and exits without changing the core philosophy.
2. **Dynamic equity allocation.** For a long-term SPY position, the signal can be used as a risk overlay: stay long by default, but increase

exposure when expected reward-to-risk is high after weak weeks and reduce it when reward-to-risk is low after strong weeks. The goal is not to predict every week; it is to concentrate risk where it has historically been better rewarded.

3. **Trend diversification.** Trend strategies suffer during whipsaws and fast rebounds. A short-horizon mean-reversion module helps precisely in those regimes.

Conclusion

The broader lesson is that market behavior depends critically on the horizon being examined. Investors are often rewarded for following strength over months and years, but the S&P 500 appears to behave very differently from one week to the next.

Across more than three decades of data, weak weeks have consistently been followed by stronger returns and better reward-to-risk than strong weeks. The market does not simply offer more return after weakness; it offers better compensation for taking risk.

This does not invalidate trend-following. Rather, it suggests that trend and mean-reversion can coexist at different horizons. Long-term trends may drive returns, while short-term reversals create opportunities to improve timing and risk allocation.

For practitioners, the message is not that weekly returns predict everything. They do not. The message is that recent market performance can meaningfully change the reward-to-risk of equity exposure, especially when used as an overlay within broader trend-following, dynamic allocation, or rotational frameworks.

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